OIL DRI CORP AMERICA ODC

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by RogerDorn24

			2026	2027
Price:	89.46	EPS	0	0
Shares Out. (in M):	15	P/E	0	0
Market Cap (in $M):	1,300	P/FCF	0	0
Net Debt (in $M):	-23	EBIT	75	85
TEV (in $M):	1,277	TEV/EBIT	17	15

Description

Overview

Oil-Dri Corporation of America (“ODC” or the “Company”) is mainly a producer of cat litter, but it also has business interests in agriculture/horticulture, recreation and renewable diesel.

ODC is a nearly century old company with third-generation management. Daniel Jaffee is CEO, a position he has held for the past 30 years. The business is also controlled by Mr. Jaffee through his near 70% ownership of the Class B shares, which hold 10 to 1 voting power over the common stock.

The business traces its roots back to WWII when the founder, Nick Jaffee, had the business idea that clay could be used in lieu of sawdust (which is flammable) to absorb oil from the floors of factories and garages that were doing war work. William Blair took the Company public in 1971 and it currently has no analyst coverage. In 1985, the Company established a Class B stock, which was retained by the founding family and, as mentioned, has 10 votes per share (common stock has 1 vote). However, in exchange for the votes, the Class B stock receives a 25% lower dividend.

ODC has paid cash dividends continuously since 1974 and has increased dividends annually since 2003.

ODC has a market cap of $1.3bn and a net cash position of $20mm. The business has been performing extremely well across multiple growth vectors over the past few years, and due to that they are trading at a full multiple of 17x EV/2026E EBIT (13x reasonably estimated, sans upside potential EBIT in 2028, otherwise known as 2028 RESUPEBIT). However, I believe they can continue to perform in line with the recent past, and there is embedded option value in multiple business lines for the Company, that should those come to fruition, would materially change the profitability of ODC. In my base case, not giving them credit for achieving any of those aforementioned options, I believe ODC will be worth $127 by FYE 2028, representing a total return of 42% and an IRR of 21%.

Business Overview

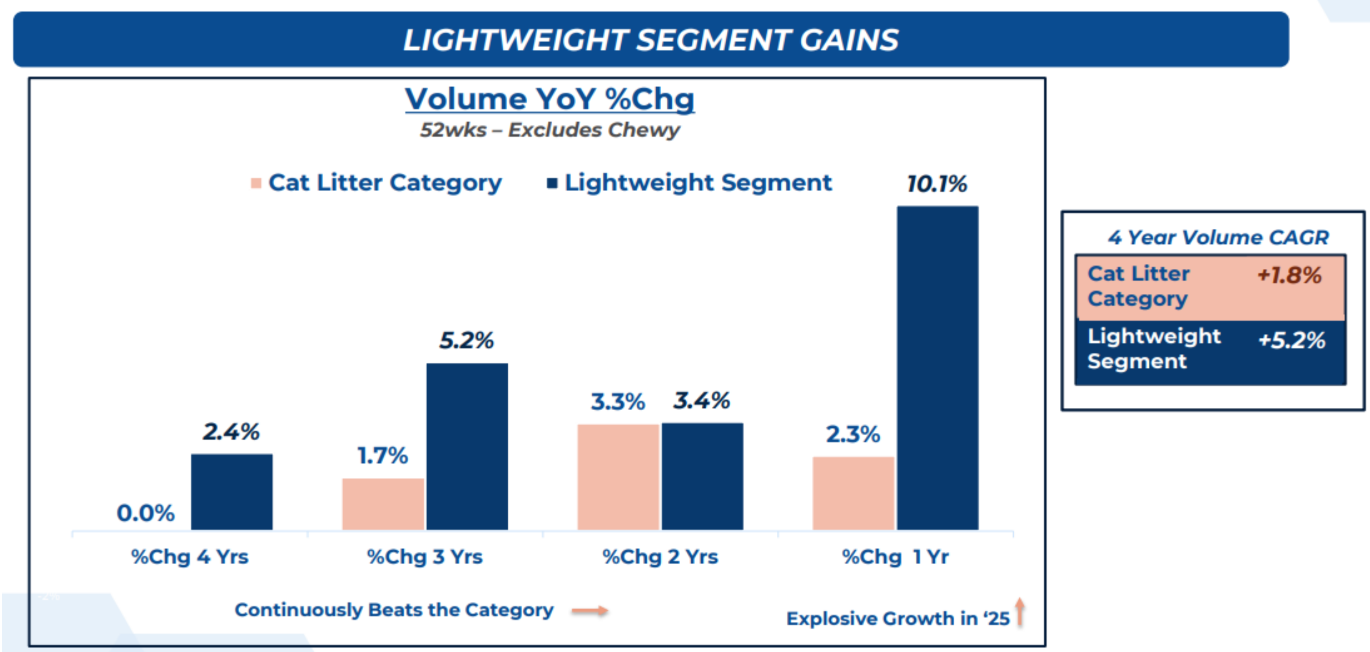
The business operates primarily through three separate categories, each of which have independent upside optionality that could create step functions in their revenue trends should their options come to fruition.

Going back to the start, in 1950, Nick Jaffee (the grandfather) purchased interests in some mines in Georgia and Mississippi, and ever since that time the Company has maintained substantial interests in bentonite clay mines. It just so happens that bentonite clay is an ideal mineral for cat litter. And ODC rode the wave of post WWII suburbanization and the increased ownership of pets and made cat litter a core vertical for the Company. It created its flagship brand - Cat’s Pride - in 1961. And in 1972 it made its first sale to Walmart. That basically concluded the evolution of the cat litter business until 2011.

In 2011, using the Company’s own words, “Cat’s Pride® Fresh & Light.® brand of lightweight cat litters was launched and revolutionized the cat litter industry.”

Lightweight cat litter is primarily different from normal (traditional) cat litter because it weighs roughly 50% less while providing the exact same volume and coverage. The appeal of this product would seemingly be obvious, especially when you consider that most cat litter bags are sold in 20-40lb bags, and the overwhelming purchasers of household cat litter are women. A product that would halve the weight should seemingly take share.

And it has!...in Canada…Lightweight cat litter has over 50% share in Canada, but is closer to 10% in the US. The Company believes it is just a matter of time before the product category catches on more significantly. Recent trends suggest that it may finally be taking share:



The lightweight cat litter that ODC developed was still a clay-based product. However, a competitor entered the space with an alternate solution, crystal cat litter. Crystal cat litter is made from porous silica gel beads that absorb urine on contact and dehydrate solid waste rather than forming traditional clumps.

In 2024, ODC acquired Ultra Pet to get into the crystal cat litter business.

Taken together, traditional lightweight and crystal are the two fastest growing segments in the cat litter industry.

ODC has both branded products (Cat's Pride) and private label options, sales as of April, 2026 were about 85% branded and 15% co-packaged (ODC's second largest customer behind Walmart is Clorox, who they have been co-packaging with since the 1980s).

And while lightweight cat litter was initially created thinking of solving problems for its core customer, its lightweight nature may position it advantageously in the new paradigm of pet care. The industry is increasingly moving to online ordering and delivery.

Since 2019 the cat litter business has grown at a 9.4% revenue CAGR.

The next business worth speaking about is Bleaching Clay and Fluids Purification, which specifically has found a good use case for renewable diesel. The fluids purification business was a $50mm a year revenue business that all of a sudden exploded beginning in 2022 and in 2025 it did $110mm in revenue. On June 13, 2025, the U.S. EPA released proposed higher volume requirements to increase domestic biofuel production.

US Renewable Diesel capacity grew roughly 8x from 2020 to 2024, driven by a number of rebates and tax incentives. ODC's metals are mixed into the diesel fuel and I guess they help pull the phosphorous out, which then causes the diesel to burn significantly cleaner and do considerably less wear and tear on the refinery machinery (Mr. Jaffee goes through the actual chemistry in one of the calls in 2024, but this was basically what I took away from it). ODC has two products for this space: Metal X and Metal Z. They have said they compete against a handful of players in the space (Clariant and WR Grace seem to be the two biggest, but don't hold me to that), but they have also said that the demand profile looks up and to the right through 2030. This is a higher margin product for ODC and has contributed meaningfully to their 400bps of gross margin expansion since 2023.

Since 2019 this business line has grown at a 12.5% revenue CAGR.

Lastly, Animal Health and Nutrition, where the Company has developed their Amlan products, which are natural substitutes for what was historically medicated food sources for feed animals. This business is trying to tackle the marketplace from a natural perspective. ODC entered the US market with this product at the beginning of 2022, positioning their mineral based business as an alternative to chemical/pharmaceutical based foodstocks. In turn, the legacy players have historically marketed ODC's products as animal food with dirt mixed in. But undeniably there has been movement in the popular zeitgeist that some of the large poultry (ODC's primary market) and swine producers (the secondary market) would be interested in an all natural, mineral based diet that helps combat Coccidiosis and Mycotoxin (which are apparently things chickens can get). Mr. Jaffee has described this business as a "home run and strikeout" type business, where if they can get one of the major poultry producers on board it could mean a step change for the revenue profile. The sales cycle can be long, appropriately so, as customers test out the efficacy of the products, but if ODC were to land a major customer it could change the entire profile of this business. To be clear, the business is looking a lot like Joey Gallo on the Yanks, nothing but Ks. It has not hit a home run yet, and despite that the business line has grown at a 10.0% revenue CAGR since 2019.

So here's the company's core revenue streams:

Historical Financials								
$ in mm	2019	2020	2021	2022	2023	2024	2025	CAGR
Significant Revenue Lines								
Cat Litter	$149.3	$162.0	$176.1	$196.3	$226.3	$241.9	$255.9	*9.4%*
Bleaching Clay and Fluids Purification	54.2	52.5	53.3	62.1	77.6	92.5	110.1	*12.5%*
Animal Health and Nutrition	15.9	17.7	17.8	20.9	24.5	24.4	28.2	*10.0%*
Total	$219.4	$232.3	$247.2	$279.2	$328.5	$358.8	$394.2	*10.3%*

ODC was a small cap value business for the entirety of its existence. Even in the near past it was simply a defensive company with a dividend. From 2015-2019 the business did not move. In that period it's annual revenues were $261mm, $262, $262 and $266.

Since 2019, ODC has grown revenue from $277mm to $486mm, gross profit from $66mm to $143mm and operating income from $10mm to $68mm.

They did all this without materially changing the volume of product that they shipped, they have just targeted higher value-add end markets (i.e. higher margin) and improved their operations. Additionally, the Company has been making optimizing decisions, such as in 2023, when the Company made the decision to shed some low to no margin business inside their consumer division. I do not believe the increased operating margin in the business is reflective of a cyclical peak, rather I believe it is the manifestation of a shift in business mindset. Thus, I believe that not only is this operating margin durable, I think it has room to expand.

Capital Allocation

The Company has been quite open about their capital allocation strategy. They first want to make sure that they are properly investing in internal growth opportunities (as well as just making sure they are keeping facilities up to par, each of the last three years has been the highest CapEx spend in ODC history, only to be topped by the subsequent year). They're also quite open about the fact that a key element of their business is mining, and replacing product is always more expensive than mining it (although this elevated CapEx is in part related to refreshing plants, that spend should cease in the somewhat near future). In the early 2020s the Company was buying back shares as they felt they were materially undervalued by the market, but in recent years they have not materially bought back shares (not necessarily the best fact pattern, but it shows a capacity and willingness to intervene when necessary). ODC still has authorization to purchase back several hundred thousand shares. The Company has paid a dividend for over 50 years, and they have increased it each year for the last 25 years, this is their next priority (and they have increased the dividend twice in the past year. Then lastly, they have cash and debt capacity to execute additional M&A.

Valuation

Model											CAGR	
$ in mm	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	19-26	26E-28E
X IS:												
Revenue:												
Cat Litter	$149	$162	$176	$196	$226	$242	$256	$280	$306	$335	*9.4%*	*9.4%*
Bleaching Clay and Fluids Purification	54	53	53	62	78	92	110	124	139	157	*12.5%*	*12.5%*
Industrial and Sports	33	29	32	39	44	45	47	50	53	56	*5.9%*	*5.9%*
Agricultural and Horticultural	24	22	26	30	40	34	44	49	54	60	*10.5%*	*10.5%*
Animal Health and Nutrition	16	18	18	21	24	24	28	31	34	37	*10.0%*	*10.0%*
Net Sales	$277	$283	$305	$349	$413	$438	$486	$534	$587	$645	*9.8%*	*9.9%*
% growth	*4.1%*	*2.2%*	*7.7%*	*14.3%*	*18.5%*	*5.9%*	*11.0%*	*9.9%*	*9.9%*	*10.0%*		
Cost of Sales	(211)	(207)	(240)	(286)	(310)	(312)	(342)	($379)	($417)	($458)		
Gross Profit	$66	$76	$65	$63	$103	$125	$143	$155	$170	$187	*13.8%*	*9.9%*
% gross margin	*23.7%*	*26.8%*	*21.4%*	*17.9%*	*25.0%*	*28.6%*	*29.5%*	*29.0%*	*29.0%*	*29.0%*		
Selling, General and Administrative Expenses	(55)	(64)	(52)	(52)	(62)	(73)	(75)	(80)	(85)	(90)		
Income from Operations	$10	$12	$13	$10	$41	$52	$68	$75	$85	$97	*36.8%*	*13.8%*
% operating margin	*3.8%*	*4.2%*	*4.3%*	*3.0%*	*9.9%*	*11.8%*	*14.0%*	*14.0%*	*14.5%*	*15.0%*		
Loss on Impairment of Goodwill	-	-	-	(6)	-	-	-	-	-	-		
Other Operating Income	-	13	-	-	-	-	-	-	-	-		
Total Other Expense, Net	4	(2)	0	1	(6)	(2)	(2)	(2)	(2)	(2)		
Income Before Income Taxes	$15	$10	$13	$11	$35	$50	$66	$73	$83	$95		
Income Taxes	(2)	(4)	(2)	(0)	(5)	(10)	(12)	(15)	(17)	(20)		
Net Income	$13	$6	$11	$11	$29	$39	$54	$57	$66	$75		
% net income margin	*4.6%*	*2.0%*	*3.6%*	*3.2%*	*7.1%*	*9.0%*	*11.1%*	*10.8%*	*11.2%*	*11.6%*		

X FCF Bridge:

NOPAT	$8	$20	$10	$4	$32	$41	$54	$73	$83	$95
(+) D&A	13	14	14	13	16	19	22	22	24	26
(-) CapEx	(15)	(15)	(19)	(23)	(24)	(32)	(33)	(32)	(35)	(39)
(-) Change in NWC	(3)	13	(17)	(12)	4	(14)	(0)	(6)	(6)	(7)
FCF	$4	$32	($11)	($17)	$28	$14	$43	$57	$66	$75
FCF Margin	*1.4%*	*11.4%*	*(3.7%)*	*(4.9%)*	*6.7%*	*3.3%*	*8.9%*	*10.7%*	*11.2%*	*11.6%*
CapEx as a % of revenue	*(5.4%)*	*(5.2%)*	*(6.2%)*	*(6.5%)*	*(5.9%)*	*(7.3%)*	*(6.7%)*	*(6.0%)*	*(6.0%)*	*(6.0%)*

X Cash

Cash, beg.								$63	$110	$165
Cash Produced								57	66	75
Share Repurchase								-	-	-
Dividends								(10)	(10)	(10)
Cash, end.								$110	$165	$230
Memo: Shares Repurchase ($)	*$0.1*	*$5.5*	*$3.1*	*$11.8*	*$1.1*	*$2.8*	*$2.3*			
Memo: Dividends Paid	*$6.7*	*$7.0*	*$7.2*	*$7.4*	*$7.4*	*$7.8*	*$8.4*			
Payout Ratio	*170.6%*	*21.8%*	*(63.8%)*	*(42.9%)*	*26.8%*	*54.3%*	*19.5%*			

X BS

IC, beg.								$213	$228	$246
(+) CapEx								32	35	39
(-) D&A								(22)	(24)	(26)
(+) NWC								6	6	7
IC, end.							$213	$228	$246	$266
ROIC	*6.4%*	*16.7%*	*7.5%*	*2.4%*	*19.1%*	*20.4%*	*25.4%*	*31.8%*	*33.8%*	*35.7%*
RONIC	*(50.1%)*	*(101.2%)*	*(46.8%)*	*(27.5%)*	*324.5%*	*27.4%*	*107.7%*	*87.4%*	*48.9%*	*48.4%*

X Valuation

8/21/2026	*$ in mm*	Today	*Notes*		2028F	7/31/2028
	Current Price	$ 89.46	*8/21/2026*	FY2028 EBIT	$97	
	Shares Out., 000s	14,507	*Calc*	EV/EBIT	17.1x	
	Market Cap	$1,298	*Google Finance*	FYE28 EV	$1,651.0	
	(+) Debt (excl. Leases)	$40	*Q3*	(+/-) Net Cash/(Debt)	191	
	(-) Cash (Non-Operating)	$63	*Q3*	Market Cap	$1,841.5	
	EV	$1,275		Shares Out.	14,507	
	2026E EBIT	$75		Share Price Target	**$ 126.94**	
				Upside/(Downside) to Target	*41.9%*	
				IRR	*19.7%*	
				Including Dividend	*20.7%*	
	EV/EBIT	17.1x				
	Pre-Tax Earning Yield	5.9%				

Using entry/exit multiple parity if the business just keeps producing as it has over a multi-year period, I forecast the business to be worth $127 per share by FYE 2028 (July 31, 2028). Factoring in the annual dividend that will get you to a 21% IRR. While the valuation is full, I think the margin of safety comes through the fact that there are four options that could drive performance substantially above where it has been in the recent past:

1. US adoption of lightweight or crystal cat litter (adoption has been accelerating)
2. Continued buildout of renewable diesel plants
3. One large customer win in US poultry business
4. New use case discovered for Company's massive mineral deposits

On that last point, it's worth noting that the business owns ~12,000 acres of proprietary mineral reserves that the Company currently has earmarked for future cat litter. They estimate this is well over four decades of inputs. There's always a chance that there's a higher and better use for these minerals than cat bathrooms. I call that additional option value.

Risks/Mitigants

Risk: The Class B shares are owned by the founder's grandson and their control should force the common shares to trade at a substantial discount.

Mitigant: The Jaffee's definitely control this business and their number one priority is definitely not the share price. They view this as a family business, and they care about all stakeholders, employees, community and their shareholders. With that said, I think they have been good stewards. They take a discount on the dividend in exchange for their voting premium. And Mr. Jaffee has not been selling despite the fact that the stock is up 430% in the last five years.

Risk: Walmart is a major customer.

Mitigant: They have been selling into Walmart since 1972.

Risk: There are government subsidies/rebates supporting the renewable diesel market which could abate and shift the economic viability of the product.

Mitigant: This is true. Definitely a risk. There does seem to be support recently, and there has been capital investment in the space, but anything that makes renewable diesel less attractive would hurt the option value for ODC.

Risk: This is a full valuation for a clay mining company.

Mitigant: I think this has been my biggest struggle following this name. The stock has performed extremely well, and that was due to the Company performing well and then the market re-rating their valuation. These are not the types of valuations I typically get involved with. But I really think the long term revenue trends supporting these business lines are persistent, and should any of the options that I highlighted materialize then the forward looking valuation multiples would compress significantly.

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I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Continued Performance

One of the upside opportunities hits

Messages

No messages